Session 17: Leases II: Lessee and Lessor Accounting Mechanics Under IFRS 16

By the end of this session you must know which leases are exempt from capitalisation, how the lease term is determined, how the right-of-use asset and lease liability are measured initially and subsequently, how leases are presented across the three financial statements, how lessors classify leases and account for operating and finance leases, and the general direction of IFRS 16's effects on financial statements and key ratios.

Plan

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1. Recognition: Which Leases Get Capitalised?

General rule: under IFRS 16, a lessee capitalises essentially all leases, recognising both a right-of-use (ROU) asset and a lease liability on the balance sheet.

Recognition exemptions (two, and only two): short-term leases (lease term of 12 months or less) and low-value leases (the slides give €5,000 as an example threshold for what counts as low value). For both exempt categories, no asset or liability is recognised on the balance sheet. Instead, lease payments are simply expensed on a straight-line basis over the lease term. The old operating-lease treatment survives only for these two narrow cases.

2. Determining the Lease Term

- Because the new rules capitalise (almost) every lease, they create an incentive for companies to negotiate artificially short lease terms with frequent renewal options, in order to dodge capitalisation or minimise the measured liability.
- **IFRS 16 contains anti-avoidance provisions** to close this loophole: the lease term must include
  - periods covered by an option to extend the lease, if the lessee is reasonably certain to exercise that option, and
  - periods covered by an option to terminate the lease early, if the lessee is reasonably certain not to exercise that option.
- In both cases, the standard looks through to the substance of what the lessee actually expects to do, not merely the contract's minimum non-cancellable term.

3. Initial Measurement: ROU Asset and Lease Liability

Right-of-use asset, initial measurement: measured at cost, composed of (a) the amount of the initial lease liability, (b) any lease payments made at or before commencement, (c) any initial direct costs incurred by the lessee, and (d) the estimated costs of dismantling, removing or restoring the underlying asset to the condition required at the end of the lease.

Component (d) of the ROU asset's initial cost mirrors IAS 16's "estimated dismantling/restoration cost" element of PP&E; cost (Session 9). The same underlying logic (a future obligation baked into an asset's initial cost, offset by a provision) applies here.

Lease liability, initial measurement: measured at the present value of all lease payments due after the commencement date, composed of (a) fixed payments, (b) variable payments that depend on an index or rate, (c) amounts expected to be payable under residual value guarantees, (d) the exercise price of a purchase option, if the lessee is reasonably certain to exercise it, and (e) payments or penalties for terminating the lease, if applicable (i.e. consistent with the lease-term determination in Section 2).

Notice the structural link between the two measurements: the ROU asset's initial cost is built, in part, directly from the lease liability just computed. This is why component (a) of the ROU asset is "the amount of the initial lease liability," not a separately estimated fair value. Component (c) deserves care: only the amount the lessee **expects to pay** under a residual value guarantee enters the liability. If the expected residual value of the asset exceeds the guaranteed amount, the expected payout is zero and nothing is added for the guarantee.

4. Subsequent Measurement: ROU Asset and Lease Liability

- **ROU asset, subsequent measurement**: carried at cost, depreciated according to IAS 16 (Sessions 9-10), typically on a straight-line basis, over the shorter of the asset's useful life and the lease term, and subject to impairment testing under IAS 36 (Session 12). If ownership transfers at the end of the lease (or a purchase option is reasonably certain to be exercised), the depreciation period is the asset's useful life, not the lease term.
- **Lease liability, subsequent measurement**: each lease payment is split between an interest expense component (which increases the outstanding liability before the payment is applied) and a principal-reduction component (which reduces the outstanding liability). IFRS 16 requires the interest to be calculated so as to produce a constant periodic rate of interest on the remaining balance of the lease liability, using the same discount rate that was used to measure the liability initially.

This "constant periodic rate on the remaining balance" mechanic is exactly the effective interest method already introduced for financial liabilities in Session 6. Recognise it as the same underlying technique applied to a different type of liability, rather than a new formula to memorise separately.

5. Presentation Across the Three Statements

Must know (presentation requirements by statement):

- **Balance sheet**: ROU assets and lease liabilities must either be presented as separate line items from other assets/liabilities, or separately disclosed in the notes (identifying which line items they are included within).
- **Income statement**: depreciation expense (on the ROU asset) and interest expense (on the lease liability) cannot be combined into a single line item. They must remain separately identifiable.
- **Cash flow statement**: the principal portion of each lease payment is classified within financing activities. The interest portion is classified as either operating or financing cash flows, consistent with the entity's general accounting policy for presenting interest payments.

6. Lease Accounting by Lessors: Classification and Mechanics

Lessor accounting is substantially unchanged by IFRS 16: lessors continue to classify every lease using the same dual-model principles inherited from IAS 17 (Session 16), distinguishing operating leases from finance leases.

6.1 Classifying the lease: the indicators

A lessor classifies a lease as a **finance lease** when substantially all of the risks and rewards incidental to ownership of the underlying asset transfer to the lessee; otherwise it is an **operating lease**. The assessment rests on a set of indicators, evaluated together; no single indicator decides the classification on its own.

Classification indicators (lessor):
• whether **ownership transfers** to the lessee at the end of the lease term;
• whether the lessee holds a **bargain purchase option** it is reasonably certain to exercise;
• whether the lease term covers the **major part of the asset's economic life**;
• whether the **present value of the lease payments amounts to substantially all of the asset's fair value**;
• whether the asset is of such a **specialised nature** that only the lessee can use it without major modification;
• whether the **economic consequences of cancellation** (cancellation penalties, losses on early exit) are borne by the lessee.

Each indicator points one way or the other. A lease where ownership does not transfer and there is no purchase option can still be a finance lease if the term covers the major part of the economic life, the present value of the payments covers substantially all of the fair value, and the cancellation risk rests on the lessee: classification follows the overall transfer of risks and rewards, not any single test.

6.2 Operating lease (lessor)

- The lessor **keeps the underlying asset on its own balance sheet** and continues to depreciate it under IAS 16, over the asset's useful life, on the same basis as similar assets.
- **Lease income** is recognised on a straight-line basis over the lease term (unless another systematic basis is more representative).
- **Initial direct costs** incurred in negotiating and arranging the lease are **added to the carrying amount of the underlying asset** and recognised as an expense **over the lease term, on the same basis as the lease income** (straight-line in practice). They are not expensed immediately and not netted against income in year one.

6.3 Finance lease (lessor)

- The lessor **derecognises the underlying asset** and instead recognises a receivable equal to its **net investment in the lease**.

Net investment in the lease, initial measurement = present value of the lease payments receivable (fixed payments plus any residual value **guaranteed by the lessee**) **plus** the present value of any **unguaranteed residual value** accruing to the lessor, all discounted at the interest rate implicit in the lease. The unguaranteed residual belongs in the net investment even though the lessee will never pay it as rent.

- **Subsequent measurement**: finance income accrues at the implicit rate on the outstanding net investment (the same constant-periodic-rate mechanics as the lessee's liability, seen from the other side), and each receipt reduces the net investment. At the end of the term the residual asset recovered (guaranteed plus unguaranteed parts) settles the remaining balance.
- Symmetry warning: the same residual value guarantee is treated differently by the two parties. The **lessee** includes only the payout it **expects** to make under the guarantee; the **lessor** includes the **full guaranteed amount** in its lease payments receivable, plus the unguaranteed residual on top.

7. Worked Examples

7.1 Lessee side (payments in advance)

Building lease (setup): on 1 January, a company enters a 5-year lease of a building from a property developer. Lease payments are €40,000 per annum, payable in advance on 1 January each year. The interest rate implicit in the lease is 8% per annum.

Applying the method (lessee side): five annual payments of €40,000, the first paid immediately at commencement (in advance), the remaining four payments due at the start of years 2-5. The lease liability at initial measurement is the present value of the payments due after the commencement date, i.e. the four payments at years 1-4, discounted at 8% (the first payment, made at commencement, is not part of the liability since it is paid immediately, but it does form part of the ROU asset's cost per Section 3's item

(b)). The ROU asset's initial cost = initial lease liability + the payment made at commencement (€40,000). Subsequently, the liability accretes at 8% each period (interest expense) and is reduced by each payment as it falls due. The ROU asset is depreciated straight-line over the 5-year lease term (since no purchase option or asset-useful-life information suggests otherwise).

7.2 Lessor side, finance lease (full schedule with a residual value guarantee)

Setup: on 1 January 2026, Meridiana SpA buys a packaging machine for €261,052, equal to its fair value, and immediately leases it to a customer for three years. The customer pays €80,000 in arrears every 31 December. At the end of the lease the machine is expected to be worth €50,000, and the lessee guarantees €30,000 of that residual value. The interest rate implicit in the lease is 5%. The machine is returned at the end of the term.

Initial net investment (present values at 5%): lease payments €80,000 × 2.723248 = €217,860; guaranteed residual €30,000 × 0.863838 = €25,915; unguaranteed residual (€50,000 − €30,000 = €20,000) × 0.863838 = €17,277. Net investment = 217,860 + 25,915 + 17,277 = **€261,052**, exactly the cost of the machine: this is what "interest rate implicit in the lease" means, the rate that makes the present value of everything the lessor expects to receive equal to the asset's fair value.

Date	Receipt (€)	Finance income (€)	Net investment reduction (€)	Balance (€)
1 Jan 2026				261,052
31 Dec 2026	80,000	13,053	66,947	194,105
31 Dec 2027	80,000	9,705	70,295	123,810
31 Dec 2028	130,000	6,190	123,810	0
Total	**290,000**	**28,948**	**261,052**	

Workings: interest 2026 = 261,052 × 5% = €13,053; interest 2027 = 194,105 × 5% = €9,705; interest 2028 = 123,810 × 5% = €6,190. The 2028 receipt of €130,000 is the last €80,000 payment plus the €50,000 machine recovered (the guarantee and the unguaranteed part both materialise as expected).

Journal entries, Meridiana SpA. 1 January 2026, inception: Dr Net investment in the lease 261,052 / Cr Machine 261,052. 31 December 2026, receipt: Dr Cash 80,000 / Cr Finance income 13,053 / Cr Net investment in the lease 66,947.

Same contract, lessee side: the lessee expects to pay nothing under the guarantee, because the expected residual value (€50,000) exceeds the guaranteed amount (€30,000). Its initial lease liability is therefore only the present value of the three €80,000 payments: €217,860. Had the expected residual been €25,000 instead, the expected payout under the guarantee would be €5,000 and the lessee would add €5,000 × 0.863838 = €4,319 to its liability, while on the lessor's side the €30,000 guarantee would then cover the whole expected residual, leaving no unguaranteed residual to add.

8. Financial Statement and Ratio Effects

Moving leases onto the balance sheet mechanically affects both the balance sheet and the income statement compared to the old off-balance-sheet operating-lease treatment:

Must know (direction of the accounting effects, capitalisation vs. the old operating-lease treatment):
• **Balance sheet**: both assets (new ROU asset) and liabilities (new lease liability) increase
• **Income statement**: EBITDA increases (a single "rent expense" line, previously an operating expense above EBITDA, is replaced by depreciation and interest, both below EBITDA). Profit before tax is affected by the split between depreciation and financing costs, and typically follows a front-loaded pattern (higher total expense in early years, since interest is calculated on a larger outstanding balance early on) compared to the straight-line rent expense under the old rules
• **Cash flow statement**: operating cash flow improves (lease payments move out of operating activities), while financing cash outflows increase (principal repayments), with total cash flow unchanged (only its classification across the statement shifts)

The lecture slides list six ratios whose direction of effect is meant to be worked out from the above balance-sheet/income-statement changes, without stating the answers directly: asset turnover, current ratio, return on assets (ROA), return on equity (ROE), leverage, and interest coverage.

9. Common Mistakes and Exam Traps

- Applying the short-term/low-value exemptions too broadly. They apply only to leases with a term of 12 months or less, or to genuinely low-value underlying assets (the €5,000-type threshold), not to leases that are merely “small” in the lessee’s overall context.
- Ignoring reasonably-certain renewal or non-termination options when determining the lease term. The anti-avoidance rule specifically forces these into the lease term to prevent gaming via artificially short contracts.
- Combining depreciation and interest expense into one income-statement line. IFRS 16 explicitly forbids this. They must stay separately identifiable.
- Classifying the interest portion of a lease payment as automatically an operating cash flow. It follows the entity’s general accounting policy on interest presentation (which could place it in financing activities instead). Only the principal portion has a fixed classification (financing).
- Assuming lessor accounting also moved to a single model. It did not. Lessors still classify leases as operating or finance using the same dual-model logic as before IFRS 16.
- Letting one classification indicator decide alone. Ownership not transferring, or the absence of a purchase option, does not make a lease operating if the other indicators show that substantially all risks and rewards have passed to the lessee.
- Forgetting the lessor’s unguaranteed residual value in the net investment. The finance-lease receivable covers both the guaranteed residual (inside lease payments receivable) and the unguaranteed residual (added on top).
- Expensing a lessor’s operating-lease initial direct costs immediately. They are added to the carrying amount of the underlying asset and expensed over the lease term, on the same basis as the lease income.
- Using a different discount rate for computing the interest expense in subsequent periods than the one used to initially measure the lease liability. IFRS 16 requires the same rate throughout, applied to the remaining balance (effective interest method).

10. Must Know Absolutely

Must know:
• Two recognition exemptions only: short-term (≤12 months) and low-value leases. Expensed straight-line, no B/S recognition
• Lease term includes reasonably-certain extension periods and reasonably-certain non-exercised early-termination periods (anti-avoidance)
• ROU asset initial cost = initial lease liability + payments at/before commencement + initial direct costs + estimated restoration costs
• Lease liability initial measurement = PV of fixed payments + index/rate-based variable payments + expected residual value guarantee payouts + purchase option price (if likely exercised) + termination penalties (if applicable)
• Subsequent: ROU asset depreciated (IAS 16) + impairment tested (IAS 36). Lease liability uses effective-interest-style constant periodic rate, same rate as initial measurement
• Presentation: ROU/liability separate on B/S (or disclosed). Depreciation and interest never combined on P&L.; Principal → financing CF, interest → operating or financing per policy
• Lessor classification: finance lease when substantially all risks and rewards transfer; indicators (ownership transfer, bargain purchase option, major part of economic life, PV ≈ substantially all of fair value, specialised nature, cancellation consequences on the lessee) assessed together, none decisive alone
• Operating lease (lessor): asset stays on the lessor’s B/S and is depreciated; straight-line income; initial direct costs added to the asset’s carrying amount and expensed over the lease term on the same basis as income
• Finance lease (lessor): asset derecognised; net investment = PV(lease payments incl. guaranteed residual) + PV(unguaranteed residual); finance income at the implicit rate; receipts reduce the balance
• Same guarantee, two treatments: lessee books only the expected payout, lessor books the full guaranteed amount plus the unguaranteed residual